



“Indian organisations should use these [ESG] regulations as a platform to go further and focus on product-level emissions monitoring and mitigation”

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“India is very much a regulatory/compliance-led market. Many companies consider ESG reporting requirements through the regulatory lens”

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Companies are increasingly viewing ESG reporting as both a regulatory obligation and a strategic approach to future-proof the business. “It’s a combination of both depending upon the management philosophy, P&L benefits and type and size of businesses,” says Satish Ramchandani, Co-founder & Chief Business Officer of Updapt, an ESG tech company. For instance, he adds, there are businesses that are not listed in India but still have an ESG agenda and related teams to drive it for various reasons, including sustainability being a part of their core value system, investor mandate, risk management or “they being a supply chain partner to a large corporate in India or abroad”. Several large upstream value chain partners of listed companies have started adopting BRSR Core requirements as they need to furnish the data to their listed partners from FY25.

“We believe that sustainable supply chain management is a must for a long-lasting impact and towards this, we have been taking pre-emptive steps, including evaluating our top partners on ESG parameters and assigning ESG Maturity scores, apart from conducting training to build their capabilities and improve ESG awareness,” says Chetna Sharma Baranwal, Vice President & Head-New Initiatives and Sustainability at mobile tower installation major Indus Towers.

While BRSR mandates the Top 1,000 companies by market cap to furnish ESG data, more than 1,050 companies have reported BRSR data, says Ramnath Iyer, Co-Founder & CEO of Environment Social Governance Data & Solutions (ESGDS), which provides ESG data and analytics tools (see graphic “Status Check”).

RENEWED FOCUS

ESG investing has been gaining traction in India, primarily focussed on environmental sustainability, often driven by regulations and global pressure to combat climate change. Investing in environmental initiatives has helped businesses reduce operational costs, enhance brand reputation, and attract environmentally conscious customers, leading to increased profits. It has also mitigated regulatory risks, driven innovation, and appealed to investors and employees who prioritise corporate responsibility.